

When I'm adding to an existing position, as I did in this trade, my notebook only contains a few notes for the entry instead of a long checklist. The idea is that I already know about the stock because I already own it.

Here's what I wrote about the buy: “2 November 2016. I am going to buy at market open tomorrow to give me a full position [after combining with the other trade]. The weekly chart shows a V-type rebound, and we are near the bottom of that V, so it's a good time to buy. Yes, I expect this to retrace in the next 10 days as many good quarterly reports do, but if not, I don't want to be left on the sidelines. Plus, I'm flush with cash. Target 22 to 25.”

Figure 69.4 (note: weekly scale) shows the big decline from A to B, a breathtaking drop of 82%. That's the left side of the V-bottom.

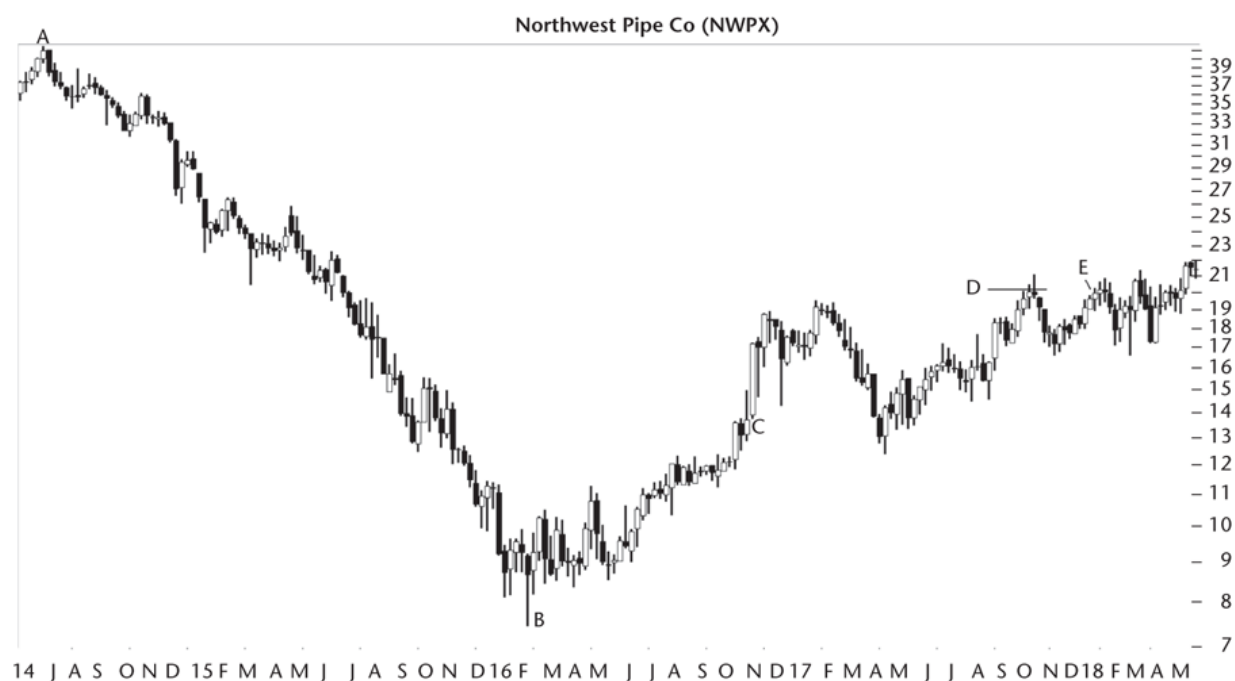


Figure 69.4 A V-bottom trade made 35%, shown on the weekly scale.

Two days before I bought the stock, the company announced earnings. I bought at C. Combined with news of a new pipe contract within the past month, the stock moved higher on the combined events.

Had I waited for the 38.2% retrace of the move down from A to B, that would have meant an entry at D. The price scale is logarithmic, so keep that in mind. Every trade is different, so I bought into the stock well before the traditional confirmation signal, and yet it was well off the bottom price of 7.46.